Well, that's exactly my point. How then do you control the risk? How do you protect yourself against a market reversal where everything then goes against you at the same time?

There are lots of ways the program deals with this problem, but the main method is using a response curve, which means that when a trend gets really overextended, our system will liquidate the position, and when the market reverses, it will reinstate it. That part is not really secret. We share that information with our investors. But how we do it—how we determine when a market is overextended and how we execute trading out of and back into positions—that is a matter of an insane amount of mathematical research, and, of course, is proprietary. The systematic team is continually researching the correlation between markets, modeling markets versus other markets, and pursuing virtually every angle of analysis you can think of. The program has literally millions of lines of code. It's the best you can do with a bunch of markets that are reasonably correlated now. The biggest protection we have is liquidating out of overextended trends. If the trend goes further still, too bad. More often than not, it is a good decision. It saves your bacon on the big reversals.

The real Achilles' heel in systematic trend following is if you get whipsaw markets.[2] How has your systematic trend-following strategy avoided getting hit by more significant drawdowns during these types of markets?

Our system will tend to keep the position small if the trend is perceived as being weak.

Is your systematic trend-following strategy fully defined or is it changed over time?

The strategy is always changing. It is a research war. Leda has built a phenomenal, talented team that is constantly seeking to improve our strategy.

Is the implication that if you stay with a static system, eventually, it will degrade?